OFFSHORE EPC PLATFORM DRILL TOWER PROJECT

EXECUTIVE STEERING COMMITTEE PROJECT STATUS & APPRAISAL REPORT

OVERALL PROJECT HEALTH: ■ CRITICAL COST OVERRUN & SCHEDULE SLIPPAGE (RED)
Status Date: August 31, 2026 (Month 8 / Week 36) | Prepared By: Frank Ellingsen, Lead Project Controller

This report presents the Earned Value Management (EVM) status, commercial financial appraisal, Monte Carlo risk simulation outturn, cash burn runway analysis, and step-by-step cost variance bridge for the Offshore Platform Drill Tower Construction Project. The baseline budget ceiling ($BAC = $26.50M) will be 100% depleted in **Month 9 (September 2026)**, requiring an executive funding line approval of **+$8.91M** to fund remaining operations through commercial COD.

1. Earned Value Performance Metrics Summary

EVM Metric Symbol	Description / Standard Definition	Value	Status / RAG
BAC	Total Baseline Budget at Completion	$26,500,000	Approved Baseline
PV	Planned Value Baseline Progress (77.4%)	$20,500,000	Planned Progress
EV	Earned Value Physical Completion (66.2%)	$17,540,000	Earned Progress
AC	Cumulative Actual Cost Incurred	$23,440,000	Critical Overrun
CV	Cost Variance (EV - AC)	-$5,900,000	-33.6% Over Budget
SV	Schedule Variance (EV - PV)	-$2,960,000	-14.4% Schedule Lag
CPI	Cost Performance Index (EV / AC)	0.7483	Red ($0.75 / $1.00)
SPI_t	Earned Schedule Velocity (ES / Actual)	0.9250	Amber (-18.2 Days)
CR	Critical Ratio (CPI * SPI)	0.6402	Red (< 0.90 Critical Deficit)
EAC_1	Most Likely Cost Outturn (BAC / CPI)	$35,413,604	+$8.91M Overrun
EAC_t	Predicted Completion Date (PD / SPI_t)	Jan 31, 2027	+31 Days Delay

2. Commercial Capital Budgeting & Financial Appraisal Ratios

Financial Appraisal Metric	Calculated Value	Hurdle Rate / Benchmark	Commercial Evaluation
Net Present Value (NPV @ 10% WACC)	+$14,899,563	$0.00 Hurdle Target	Strong Positive Net Capital Value
Internal Rate of Return (IRR)	18.86%	10.0% Discount Rate	Outperforms Hurdle by +886 bps
Simple Payback Period	4.43 Years	< 5.0 Years Target	53.1 Months (May 2031)
Profitability Index (PI)	1.42	> 1.0 Benefit/Cost Ratio	Generates $1.42 PV per $1.00 spent
Total Simple ROI	134.37%	100.0% Baseline	High 10-Year Return
Annualized ROI (CAGR)	8.89%/Year	5.0% Risk-Free Rate	Compounded Annual Growth Rate
Gross Future Value (FV Yr 10)	$130,499,397	CAPEX Base	Total Nominal Operating Inflow

3. Monte Carlo 10,000 Iteration Risk Simulation (P90 Percentiles)

Percentile Level	Confidence Level	Outturn Cost (EAC)	Overrun vs BAC	Completion Date	Schedule D
P10	10% Optimistic	$32,444,302	-$5,944,302	Feb 13, 2027	+43.1 Days

P50	50% Median	$34,060,783	-$7,560,783	Feb 27, 2027	+57.3 Days
P80	80% Standard Budget	$35,195,026	-$8,695,026	Mar 09, 2027	+67.3 Days
P90 (High Confidence)	90% High Confidence	$35,815,202	-$9,315,202	Mar 14, 2027	+72.5 Days
P95	95% Extreme Risk	$36,272,986	-$9,772,986	Mar 18, 2027	+76.6 Days

P90 High-Confidence Finding: Achieving 90% cost certainty requires a predicted outturn of **$35,815,202** and an additional management contingency reserve of **+$401,598** above the base EAC.

4. Step-by-Step Cost Variance Waterfall Bridge ($BAC to EAC)

Step	WBS Code	Control Account / Variance Driver	Incremental Cost	Cumulative Cost	% Share
0	1.0	Original Baseline Budget (BAC)	$26,500,000	$26,500,000	0.0%
1	1.1.1	Detail Structural Engineering Revisions	+$300,000	$26,800,000	3.4%
2	1.2.1	Procurement Subsea Tubular Steel Inflation	+$600,000	$27,400,000	6.7%
3	1.3.1	Verdal Sub-Structure Fabrication Yard	+$200,000	$27,600,000	2.2%
4	1.3.2	Egersund Derrick Mast Yard Rework	+$2,400,000	$30,000,000	26.9%
5	1.4.1	Heavy Lift Vessel Weather Standby	+$1,300,000	$31,300,000	14.6%
6	1.4.2	Offshore Topside Lifting & Mating	+$100,000	$31,400,000	1.1%
7	1.5.1	Hook-up & Commissioning Specialist Crew	+$200,000	$31,600,000	2.2%
8	EAC_t	Time Delay Overhead Spread (SPI_t = 0.9250)	+$3,813,604	$35,413,604	42.8%
END	1.0	Final Predicted Outturn Forecast (EAC)	+$8,913,604	$35,413,604	100.0%

5. Steering Committee Decision Matrix & Action Plan

1. **Authorize +$8.91M Overrun Credit Line:** Executive approval required before September 15, 2026 to prevent yard shutdown in Month 9.
2. **Enforce Fixed-Fee Cap on Egersund Yard:** Transition remaining Derrick Mast welding hours to a fixed-fee labor cap.
3. **Compress Offshore Hook-up:** Recover 15 calendar days along the critical path to preserve the January 31, 2027 COD.